



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2784: cities and towns; technical correction

OLSON FLOOR AMENDMENT

1. Caps the reduction in the primary school district tax levy at 85% of the calculated amount. (Sec. 2)
2. As session law, notwithstanding statute for tax years 2027, 2028, 2029, 2030 and 2031, allowing school districts to reduce their tax rate for the calculated “dead cash” levy by less than the 85% statutory amount, but not less than 20% in each year. (Sec. 3)

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OLSON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2784
(Reference to WAYS & MEANS S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Strike everything after the enacting clause and insert:

3 "Section 1. Section 15-991, Arizona Revised Statutes, is amended to
4 read:

5 15-991. County school superintendents; annual estimate;
6 monies for ensuing year; property tax calculations;
7 property tax oversight commission review

8 A. The county school superintendent shall recompute the
9 equalization assistance for education for each school district pursuant to
10 section 15-971, subsection A and compute the additional amount to be
11 levied pursuant to section 15-992, subsection B using the property values
12 provided by the county assessor under section 42-17052. The county school
13 superintendent must certify in writing to the property tax oversight
14 commission on or before July 25 of each year the amount of equalization
15 assistance for education and the amount to be levied for each school
16 district from the primary property tax pursuant to section 15-992.

17 B. The county school superintendent must prepare and file with the
18 governing board of each school district in the county and the property tax
19 oversight commission on or before July 25 of each year a written estimate
20 of the amount of monies required by each school district for the ensuing
21 school year based on the proposed budget adopted by each school district
22 governing board. The estimate shall contain:

23 1. A statement of the student count of each school district.

24 2. The additional amounts needed for each school district from the
25 primary property tax and the secondary property tax, as estimated by the
26 county school superintendent. The county school superintendent shall
27 certify those amounts to the board of supervisors and the property tax
28 oversight commission in writing at the time of filing the estimate.

1 3. THE AMOUNT DETERMINED PURSUANT TO SECTION 15-992, SUBSECTION H.

2 ~~3-~~ 4. The calculation of the amount to be levied as prescribed by
3 section 15-992 using the values provided by the county assessor under
4 section 42-17052.

5 C. The property tax oversight commission must review the primary
6 property tax calculations filed under subsection B, paragraph ~~3-~~ 4 of this
7 section.

8 D. The county school superintendent must file in writing with the
9 county board of supervisors and the property tax oversight commission on
10 or before the third Monday in August of each year the amount that is
11 required to be levied for each school district from both the primary
12 property tax prescribed by section 15-992 and the secondary property tax.

13 E. On or before September 1 OF EACH YEAR, the governing board of a
14 school district shall file with the county school superintendent an
15 estimate of the amount of title VIII of the elementary and secondary
16 education act of 1965 monies it is eligible to receive during the current
17 year. On or before June 1 OF EACH YEAR, the governing board shall file
18 with the county school superintendent and the superintendent of public
19 instruction a statement of the actual amount of title VIII of the
20 elementary and secondary education act of 1965 monies it received during
21 the current year. This subsection does not apply to accommodation
22 schools.

23 F. The department may collect any other similar or related
24 information from school districts that the department may determine is
25 necessary to carry out the purposes of this section.

26 Sec. 2. Section 15-992, Arizona Revised Statutes, is amended to
27 read:

28 15-992. School district tax levy; additional tax in districts
29 ineligible for equalization assistance; primary
30 property tax levy reduction; definition

31 A. The board of supervisors of each county, at the time of levying
32 other taxes, shall annually levy school district taxes on the property in
33 any school district in which additional amounts are required, which shall
34 be at rates prescribed in this section. A delinquency factor for
35 estimated uncollected taxes may not be included in the computation of the
36 primary tax rate for school district taxes. Local property taxes may not
37 be levied for any deficit in the classroom site fund. The taxes shall be
38 added to and collected in the same manner as other county taxes on the
39 property within the school district. The amount of the school district
40 taxes levied on the property in a particular school district shall be paid
41 into the school fund of that school district.

42 B. At the same time of levying taxes as provided in subsection A of
43 this section, the county board of supervisors shall annually levy an
44 additional tax in each school district that is not eligible for
45 equalization assistance as provided in section 15-971 in an amount
46 determined as follows:

47 1. Determine the levy that would be produced by fifty percent of
48 the applicable qualifying tax rate, prescribed in section 15-971,
49 subsection B, per \$100 assessed valuation.

1 2. Subtract the amounts determined in section 15-971, subsection A
2 and subsection F of this section from the levy determined in paragraph 1
3 of this subsection. This difference is the additional amount levied or
4 collected as voluntary contributions pursuant to title 48, chapter 1,
5 article 8, except that if the difference is zero or is a negative number,
6 there shall be no levy.

7 C. Monies collected pursuant to subsections B and F of this section
8 shall be transmitted to the state treasurer for deposit in the state
9 general fund to aid in school financial assistance.

10 D. The additional tax prescribed in subsection B of this section is
11 considered to be primary property tax for purposes of section 15-972,
12 subsection B, except that this state is not required to make the payments
13 prescribed in section 15-972, subsection H for these reductions in taxes.

14 E. The tax levy prescribed in subsection A of this section shall be
15 a rate equal to the applicable qualifying tax rate or rates as prescribed
16 in section 15-971, subsection B or a rate that would result in a levy that
17 equals the school district equalization assistance base prescribed in
18 section 15-971 subtracted by any amount received pursuant to section
19 15-905, subsections K, O and P per \$100 of assessed valuation used for
20 primary property taxes, whichever is less.

21 F. At the same time of levying taxes as provided in subsection A of
22 this section, the county board of supervisors shall annually levy an
23 additional tax in each common school district not within a high school
24 district that is equal to the lesser of:

25 1. A rate that is equal to the applicable qualifying tax rate or
26 rates as prescribed in section 15-971, subsection B.

27 2. A rate that would result in a levy that equals the statewide
28 average per pupil funding for high school pupils multiplied by the student
29 count as defined in section 15-901 of resident high school pupils in the
30 common school district not within a high school district during the prior
31 school year. On or before July 1 of each year, the department of
32 education shall provide each common school district not within a high
33 school district with the student count as defined in section 15-901 of
34 resident high school pupils in the district during the prior school
35 year. On or before July 1 of each year, the department of education shall
36 provide each county board of supervisors with the statewide average per
37 pupil funding for high school pupils, the student count as defined in
38 section 15-901 of resident high school pupils in the common school
39 district not within a high school district during the prior school year
40 and any other information requested by the county board of supervisors for
41 the purposes of levying the tax prescribed in this subsection. For the
42 purposes of this paragraph, "per pupil funding" means the amount
43 calculated pursuant to section 15-943, paragraph 2, subdivision (a) for
44 grades nine through twelve multiplied by the sum of the following:

45 (a) District additional assistance pursuant to section 15-961,
46 subsections A, B and C for a school district with a student count of six
47 hundred or more in grades nine through twelve.

48 (b) The base level amount prescribed by section 15-901.

1 G. At the time of levying taxes as provided in subsection E of this
2 section, the county school superintendent shall annually validate any
3 additional primary school district tax levy amount requests from each
4 school district and levy the sum of the following amounts:

5 1. A rate that would result in a levy that equals the difference
6 between the transportation revenue control limit as determined in section
7 15-946 and the transportation support level as determined in section
8 15-945 or a lesser amount.

9 2. A rate that would result in a levy that equals any amount
10 pursuant to section 15-910.

11 3. A rate that would result in a levy that equals any amount for
12 tuition loss as determined in section 15-954.

13 4. A rate that would result in a levy that equals any amount for
14 the small school adjustment as determined in section 15-949.

15 5. A rate that would result in a levy that equals any amount for
16 liabilities in excess of the school district budget pursuant to section
17 15-907.

18 6. A rate that would result in a levy that equals any amount for
19 adjacent ways pursuant to section 15-995.

20 7. A rate that would result in a levy that equals the amount not
21 captured by the qualifying tax rate as a result of property subject to the
22 government property lease excise tax pursuant to title 42, chapter 6,
23 article 5 as calculated in section 15-971, subsection B, paragraph 2.

24 8. Following the recommendation of the county school superintendent
25 and on approval by the county board of supervisors, for a school district
26 that is not eligible for state aid, a rate that would result in a levy
27 that equals any legal amount not levied in the current year as a result of
28 underestimated average daily membership in the current year or as a result
29 of a judgment in accordance with section 42-16213.

30 9. A rate that would result in a levy that equals any amount
31 pursuant to a qualifying dropout prevention program that was originally
32 established by law in 1987.

33 10. On the recommendation of the county school superintendent and
34 on approval by the county board of supervisors before adoption of tax
35 rates pursuant to section 42-17151, a rate that would result in a levy
36 that equals any separately stated cash deficit from the prior fiscal year
37 resulting from an anticipated or actual deviation in the property tax
38 roll, including resolutions or judgments pursuant to title 42, chapter 16,
39 articles 5 and 6.

40 H. AT THE TIME OF LEVYING TAXES AS PROVIDED IN SUBSECTIONS E AND G
41 OF THIS SECTION, THE COUNTY SCHOOL SUPERINTENDENT SHALL ANNUALLY REDUCE
42 THE PRIMARY SCHOOL DISTRICT TAX LEVY AMOUNT REQUESTS FROM EACH SCHOOL
43 DISTRICT BY AN AMOUNT DETERMINED AS FOLLOWS:

44 1. DETERMINE THE TOTAL ENDING CASH BALANCES FROM THE SCHOOL
45 DISTRICT'S MAINTENANCE AND OPERATIONS FUND AND UNRESTRICTED CAPITAL OUTLAY
46 FUND REPORTED IN THE SCHOOL DISTRICT'S ANNUAL FINANCIAL REPORT FOR THE
47 IMMEDIATELY PRECEDING FISCAL YEAR PURSUANT TO SECTION 15-904.

48 2. DETERMINE THE AMOUNT THAT THE SCHOOL DISTRICT GOVERNING BOARD
49 BUDGETED FROM BUDGET BALANCES FOR THE CURRENT YEAR PURSUANT TO SECTION

1 15-947, SUBSECTION C, PARAGRAPH 2, SUBDIVISION (a), ITEM (i) AND
2 SUBSECTION D, PARAGRAPH 4.

3 3. SUBTRACT THE AMOUNT DETERMINED IN PARAGRAPH 2 OF THIS SUBSECTION
4 FROM THE AMOUNT DETERMINED IN PARAGRAPH 1 OF THIS SUBSECTION.

5 [4. EIGHTY-FIVE PERCENT OF THE AMOUNT CALCULATED PURSUANT TO
6 PARAGRAPH 3 OF THIS SUBSECTION IS THE AMOUNT OF THE REDUCTION.]

7 ~~H.~~ I. For the purposes of this section, "assessed valuation"
8 includes the values used to determine voluntary contributions collected
9 pursuant to title 9, chapter 4, article 3 and title 48, chapter 1,
10 article 8.

11 <<Sec. 3. School district property tax levy reductions; tax
12 years 2027 through 2031; delayed repeal

13 [A. Notwithstanding sections 15-991 and 15-992, Arizona Revised
14 Statutes, as amended by this act, in each of tax years 2027, 2028, 2029,
15 2030 and 2031, the county school superintendent of each county shall
16 reduce the primary school district tax levy amounts requested by each
17 school district pursuant to section 15-992, Arizona Revised Statutes, as
18 amended by this act, by an amount determined by the school district,
19 except that the amount of the reduction for any tax year may not be less
20 than twenty percent of the amount calculated pursuant to section 15-992,
21 subsection H, paragraph 3, Arizona Revised Statutes, as added by this act,

22 B. This section is repealed from and after July 1, 2032.]>>"

23 Enroll and engross to conform

24 Amend title to conform

JUSTIN OLSON

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03/06/2026

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